



# Governance, Regulatory Perimeter and Compliance Positioning Memorandum

**MAL MONEY INC. (Trade Name: Mal Money)**

BaaS Program Manager - Anti-Money Laundering and Counter-Terrorism Financing

EIN: 16878389 | Montana Corporation | 821 N 27th St #2066, Billings, MT 59101-1121, USA

| DOCUMENT CONTROL       |                                                                                                                                                                                                                                                                                                                                 |
|------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Document Title</b>  | Governance, Regulatory Perimeter and Compliance Positioning Memorandum                                                                                                                                                                                                                                                          |
| <b>Entity</b>          | MAL MONEY INC. (Trade Name: Mal Money) - BaaS Program Manager                                                                                                                                                                                                                                                                   |
| <b>Version</b>         | Four-Part Consolidated Memorandum                                                                                                                                                                                                                                                                                               |
| <b>Structure</b>       | Part A: Regulatory Perimeter and Filing Allocation   Part B: Governance Structure and CO Independence   Part C: U.S.-Based CO Positioning   Part D: Montana Address and Business Substance   Conclusion Box                                                                                                                     |
| <b>Status</b>          | Final Counsel Draft - Pending Client Execution Inputs. Parts B–D are final-form and may be shared independently. Part A reflects the confirmed analytical framework; certain factual inputs in Section A.3.2 remain subject to client confirmation prior to final execution. See Client Confirmation Schedule at Section A.3.2. |
| <b>Document Date</b>   | March 31, 2026                                                                                                                                                                                                                                                                                                                  |
| <b>Cross-Reference</b> | AML/BSA Program   CO Appointment Letter   Partner DDQ                                                                                                                                                                                                                                                                           |

## **EXECUTIVE SUMMARY**

On corridor risk references throughout this Memorandum: all corridor risk classifications are based on the Company's internal AML/BSA risk assessment, independent of FATF public list status. Pakistan, UAE, Turkey, Bangladesh, and Egypt are classified as High or Very High Risk under the Company's internal framework, regardless of current FATF grey list status.

## PART A - REGULATORY PERIMETER AND FILING ALLOCATION

### A.1 Purpose of this Part

This Part formally analyzes whether MAL MONEY INC. constitutes a Money Services Business under 31 C.F.R. Chapter X; whether the Company is the filing institution for SARs and CTRs; the correct framing of the CIP/KYC legal basis for a BaaS program manager; and the Company's corridor risk classification basis independent of FATF public list status.

### A.2 Regulatory Framework

| Citation                    | Provision                                                | Relevance                                                                                   |
|-----------------------------|----------------------------------------------------------|---------------------------------------------------------------------------------------------|
| 31 C.F.R. § 1010.100(ff)    | Definition of 'money services business'                  | Primary MSB classification rule; determines FinCEN registration and AML program obligations |
| 31 C.F.R. § 1010.100(ff)(5) | 'Money transmitter' - accepts and transmits funds        | Key question for BaaS program managers: principal transmitter or agent?                     |
| 31 C.F.R. § 1022.210        | AML program requirements for MSBs - four pillars         | Applicable to the extent Company is an MSB                                                  |
| 31 C.F.R. § 1022.320        | SAR filing for MSBs - \$2,000 threshold; 30-day deadline | Applies only where Company is the MSB and the filing institution                            |
| 31 C.F.R. § 1010.311        | CTR filing - \$10,000 cash threshold                     | Applies to 'financial institutions' as defined; requires perimeter analysis                 |
| 31 C.F.R. § 1022.380        | MSB registration with FinCEN                             | Required if Company qualifies as MSB under § 1010.100(ff)                                   |
| FinCEN FIN-2021-G001        | AML program and SAR requirements for CVC businesses      | Relevant to stablecoin activities; affects perimeter analysis for CVC-related services      |

## **A.3 MSB Status - Analysis**

### **A.3.1 The Money Transmitter Test**

Under 31 C.F.R. § 1010.100(ff)(5), a 'money transmitter' accepts and transmits funds or value that substitutes for currency. A person acting only as an agent of a money transmitter is not itself a money transmitter if certain conditions are met. In a BaaS arrangement, the key question is whether the Company is the accepting/transmitting principal or an agent for the banking partner.

### **A.3.2 Client Confirmation Schedule - Required Factual Inputs**

|                                                                             |                                                                                                                      |
|-----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| <b>FinCEN MSB Registration filed?</b>                                       | Client to confirm: Filed (Registration No. _____) / Pending / Analysis ongoing                                       |
| <b>Activities registered under</b>                                          | Client to confirm: Foreign Exchange / Money Transmitting / Virtual Currency / Other (select all applicable)          |
| <b>Registration effective date</b>                                          | Client to confirm: Effective date of registration _____                                                              |
| <b>Company's legal determination: money transmitter?</b>                    | Client to confirm: Determination confirmed by counsel (Yes / Analysis pending / Agent exception claimed - see below) |
| <b>If agent exception claimed: documented in program manager agreement?</b> | Client to confirm: Yes - cite relevant clause / No / N/A (agent exception not claimed)                               |

## **A.4 Filing Institution - SAR and CTR Allocation**

| <b>Obligation</b>                 | <b>Primary Filer (Client to confirm)</b>            | <b>Company's Role</b>                                                                                                                                                                                |
|-----------------------------------|-----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| SAR filing (\$2,000+)             | Client to confirm: Company / Banking Partner / Both | If Company: detect, investigate, file within 30 days per 31 C.F.R. § 1022.320. If Bank: detect, investigate, prepare escalation package, transmit within ~20 days supporting Bank's 30-day deadline. |
| CTR filing (cash >\$10,000)       | Client to confirm: Company / Banking Partner / N/A  | If Company handles cash: CTR within 15 calendar days. If Bank handles cash: Company supports detection and escalation.                                                                               |
| OFAC blocking/rejection reporting | Client to confirm: Company / Banking Partner / Both | Where Company controls transaction: report to OFAC within 10 business days. Where Bank controls: escalate immediately.                                                                               |

|                                       |                                                        |                                                                                                      |
|---------------------------------------|--------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| Annual Blocked Property Report (ARBP) | Client to confirm:<br>Company / Banking Partner        | For property held as of June 30: report by September 30 of that year.                                |
| Travel Rule recordkeeping (\$3,000+)  | Client to confirm:<br>Company / Banking Partner / Both | Per program manager agreement; originator/beneficiary information retained per 31 C.F.R. § 1010.410. |

### **A.5 CIP Rule Applicability for BaaS Program Managers**

FinCEN's Customer Identification Program rule (31 C.F.R. § 1020.220 for banks) is expressly framed for depository institutions and certain other enumerated financial institutions, not as a blanket CIP rule for all MSBs. MSBs are required to implement a risk-based customer identification and due diligence program as part of their AML program under 31 C.F.R. § 1022.210.

### **A.6 Corridor Risk Classification - Independent of FATF List Status**

The Company's corridor risk classifications are determined by the Company's internal AML/BSA risk assessment. FATF public grey/black list status is one input among multiple risk factors. This distinction matters because FATF list status changes frequently, and documents that treat FATF listing as the operative risk fact will be factually wrong when a country moves on or off the list.

| Corridor         | Company Classification | FATF Status (Feb 2026)               | Primary Internal Risk Basis                                                                                              |
|------------------|------------------------|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Pakistan         | VERY HIGH              | NOT on grey list (removed Oct 2022)  | TF risk; hawala/hundi prevalence; KPK/FATA/Balochistan province risks; weak institutional controls                       |
| Bangladesh       | HIGH                   | NOT on grey list                     | Trade-based ML; garment sector cash; weak AML enforcement; remittance vulnerability; NPO/charity TF exposure             |
| Egypt            | HIGH                   | NOT on grey list                     | Currency control evasion; political instability; informal economy; limited AML enforcement; regional sanctions proximity |
| Turkey (Türkiye) | MEDIUM-HIGH            | NOT on grey list (removed June 2024) | Geographic position; gold/CVC trading risks; historical ML typologies; residual risk post-FATF removal                   |
| UAE              | MEDIUM-HIGH            | NOT on grey list (removed Feb 2024)  | Trade finance ML; real estate risk; high-value cash economy; proximity to sanctioned jurisdictions                       |

## PART B - GOVERNANCE STRUCTURE AND CO INDEPENDENCE

### B.1 Purpose

This Part documents the Company's governance structure, three lines of defense, Compliance Officer independence, SAR governance model, and independent testing commitment. It is designed as a DD-ready governance artifact for banking partners and regulators.

### B.2 Governance Principles

- **Independence of Function:** The AML/BSA compliance function is independent from revenue-generating and business development functions. No commercial consideration overrides a compliance requirement.
- **Direct Board Access:** The CO reports directly and functionally to the Board. No management intermediary may filter or restrict CO communications with the Board.
- **Adequate Resources:** The Board ensures the compliance function has adequate staffing, technology, budget, and authority to operate effectively.
- **Scalability:** The governance framework accommodates expansion into new corridors through the Corridor Addendum model without requiring restructuring of compliance governance.

### B.3 Three Lines of Defense

| Line     | Role                                                                                      | Responsible Party                                                       | Reports To                  |
|----------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|-----------------------------|
| 1st Line | Own and manage AML risks daily: onboarding, TM alerts, OFAC screening                     | Customer Support; KYC Agents; Operations; Head of Compliance (Pakistan) | U.S. Compliance Officer     |
| 2nd Line | Develop policies; oversee 1st line; conduct investigations; maintain reporting governance | U.S. Compliance Officer and Compliance Department                       | Board of Directors (direct) |

|           |                                                                |                              |                             |
|-----------|----------------------------------------------------------------|------------------------------|-----------------------------|
| 3rd Line  | Independent evaluation of entire AML Program effectiveness     | External Independent Auditor | Board of Directors (direct) |
| Oversight | Ultimate accountability; resource allocation; Program approval | Board of Directors           | Shareholders                |

## **B.4 Compliance Officer Independence Framework**

- Direct Board Reporting: CO has direct, unmediated access to the full Board. No member of management may restrict CO communications with the Board.
- Conflict-Free Authority: CO may reject, flag, or escalate any business decision presenting material AML/CTF risk regardless of commercial value.
- Non-Retaliation: Company policy prohibits retaliation against the CO or compliance personnel for good-faith exercise of compliance responsibilities.
- Compensation Independence: CO compensation is reviewed and approved by the Board and is not tied to revenue, profit, or customer acquisition metrics.
- Termination Protection: CO may only be removed by Board resolution.

## **B.5 SAR Governance and Independent Testing**

### **SAR Committee**

For cases involving high transaction values, PEPs, systemic fraud, cross-corridor patterns, or novel typologies, the SAR Committee (CO plus designated senior management representative) reviews the case before a filing decision. Decisions are documented and retained in each case file.

### **Quality Assurance**

Pre-filing QA review: all SAR packages reviewed by the CO for completeness, narrative quality, and evidence alignment before submission. Post-filing review: following each SAR, the CO assesses whether earlier detection was possible and implements rule updates. Quarterly SAR trend analysis: reported to Board by corridor and typology category.

### **Independent Testing Commitment**

## **B.6 Annual Governance Calendar**

| <b>Milestone / Reporting Event</b>                    | <b>Timing</b>                                          | <b>Responsible</b> |
|-------------------------------------------------------|--------------------------------------------------------|--------------------|
| Board approves and adopts AML/BSA Program             | Date of Board Resolution                               | Board              |
| CO appointment confirmed and documented               | Date of CO Appointment Letter                          | Board / CO         |
| All staff complete new-hire AML training              | Within 30 days of hire date (ongoing)                  | CO                 |
| First quarterly compliance dashboard to Board         | End of first full calendar quarter post-launch         | CO                 |
| First Corridor Addendum completed (Pakistan)          | Before first Pakistan-corridor transaction             | CO                 |
| Independent AML audit engagement commissioned         | Within 12 months of commercial launch                  | CO + Board         |
| Annual Blocked Property Report (ARBP) - if applicable | September 30 each year for property held as of June 30 | CO                 |
| AML Program annual review                             | Each calendar year-end; updated version to Board       | CO + Board         |

## **PART C - U.S.-BASED COMPLIANCE OFFICER POSITIONING ANALYSIS**

### **C.1 Legal Framework - Is U.S. Presence Required?**

The Bank Secrecy Act and FinCEN implementing regulations require MSBs to designate a compliance officer responsible for implementing and maintaining the AML program. The statute and regulations do not, on their face, specify physical U.S. presence. However, FinCEN's examination guidance and published expectations consistently emphasize that the CO must: have sufficient authority and independence; have direct access to senior management and the Board; have effective access to all records and systems; and be available to interact with regulators in a timely manner.

Banking partners under OCC/FDIC/FRB third-party risk guidance (2023) are required to assess the compliance governance of their program managers. A U.S.-based CO provides the clearest signal that the Company maintains U.S.-anchored compliance governance.

## **C.2 Factors Making U.S. Presence Strongly Advisable**

### **C.2.1 High-Risk Corridor Operations**

The Company operates corridors to Pakistan, Bangladesh, Egypt, Turkey, and the UAE - all classified as High or Very High Risk under the Company's internal assessment. A CO based in one of these jurisdictions would not maintain the arm's-length independence expected of a U.S.-anchored compliance function, regardless of formal reporting lines.

### **C.2.2 BaaS Program Manager Role**

As a BaaS Program Manager, the Company assumes contractual and regulatory responsibility for AML/CTF controls on behalf of banking partner customers. A U.S.-based CO is the most direct organizational expression of that commitment.

### **C.2.3 Regulatory Interaction and Reporting**

Where the Company is the confirmed filing institution, interaction with FinCEN systems requires a CO attuned to the U.S. regulatory environment and available during U.S. business hours. Similarly, OFAC reporting obligations require operationally present and accessible oversight.

## **C.3 Conditions for a Remote Arrangement (If Required)**

If the Company determines that a remote arrangement is operationally necessary, ALL of the following minimum conditions must be satisfied:

- Direct Board access: CO has direct, unimpeded access to the full Board for escalation of any compliance concern.
- System and records access: CO has full, real-time access to all Company systems, customer records, transaction data, and compliance tools.
- U.S. business hours coverage: CO is available during standard U.S. business hours for regulatory interactions and emergency escalations.
- U.S. regulatory familiarity: CO demonstrates current knowledge of FinCEN guidance, BSA requirements, OFAC regulations, and FATF standards as applied to U.S. MSBs.
- Documented accountability: Company maintains documented evidence of CO oversight activities, decisions, and Board communications.

## **PART D - MONTANA ADDRESS AND BUSINESS SUBSTANCE**

### **D.1 Legal Status of the Registered Address**

### D.1.1 Corporate Registration

MAL MONEY INC. is incorporated under Montana law with a registered address at 821 N 27th St #2066, Billings, MT 59101. This address satisfies Montana corporate law requirements for a registered agent address. Montana does not separately license money transmitters and does not impose a Montana-specific MSB license requiring physical office presence.

### D.1.2 FinCEN MSB Registration

For FinCEN MSB registration purposes, the Company's registered address is the address of record with FinCEN. FinCEN's framework does not generally impose a standalone physical office requirement; the practical focus is on record availability, accessibility, and compliance infrastructure, subject to the Company's confirmed perimeter status per Part A of this Memorandum.

## D.2 Banking Partner DD Expectations and Recommended Substance Measures

Banking partners under OCC/FDIC/FRB third-party risk guidance (2023) assess whether program managers have genuine operational infrastructure. Partners typically look for a verifiable operating address associated with actual business activity, a U.S.-based compliance function, U.S. banking infrastructure, and operating records anchored in the U.S.

| Option                                                       | Est. Monthly Cost | DD Strength | Notes                                                      |
|--------------------------------------------------------------|-------------------|-------------|------------------------------------------------------------|
| Virtual office / business address service (e.g., Regus, IWG) | ~\$50-150/mo      | Moderate    | Suite address, mail handling; most banking partners accept |
| Co-working dedicated desk or private office                  | ~\$200-500/mo     | Good        | Physical access; on-site presence; inspectable             |
| Private serviced office                                      | ~\$500-1,500/mo   | Strong      | Best for partners requiring inspection rights              |
| Leased physical office space                                 | ~\$1,000+/mo      | Strongest   | Maximum substance; may be required by Tier 1 banks         |

## CONCLUSION BOX - OPERATIONAL SUMMARY

| Determination                                     | Status / Notes                                                                                     |
|---------------------------------------------------|----------------------------------------------------------------------------------------------------|
| Company is an MSB under 31 C.F.R. § 1010.100(ff)? | Client to confirm: Yes / No / Pending legal analysis                                               |
| Money transmitter determination?                  | Client to confirm: Yes (money transmitter) / No (agent exception applies - cite contractual basis) |
| FinCEN MSB registration status?                   | [Registered No. ____ / Filed / Not yet filed]                                                      |

|                                                                          |                                                                                                                          |
|--------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| SAR filing institution for this Company?                                 | Client to confirm: Company files directly / Banking Partner files / Split                                                |
| CTR filing institution for this Company?                                 | Client to confirm: Company / Banking Partner / N/A                                                                       |
| OFAC blocking/rejection - Company responsible for direct OFAC reporting? | [Yes / No / Partial - describe]                                                                                          |
| ARBP - does Company hold blocked property requiring annual OFAC report?  | [Yes / No / Not yet determined]                                                                                          |
| CIP rule (31 C.F.R. § 1020.220) directly applicable?                     | Not applicable - not a depository institution. Company applies risk-based KYC/CDD consistent with U.S. AML expectations. |
| DDQ YES responses confirmed as live controls?                            | [All YES items confirmed live / Conditional - see COND items]                                                            |
| U.S.-based CO: currently appointed?                                      | [Yes - Name: ____ / No]                                                                                                  |
| Montana business substance: current status?                              | [Mailbox only / Virtual office / Serviced office / Physical office]                                                      |
| Date of Part A conclusion / legal counsel confirmation                   | [DATE]                                                                                                                   |

|                                                        |                                                        |
|--------------------------------------------------------|--------------------------------------------------------|
| _____<br>AML/BSA Compliance Officer - Signature / Date | _____<br>Legal Counsel - Reviewed and Confirmed / Date |
|--------------------------------------------------------|--------------------------------------------------------|